

DELIVERY SERVICE LEVEL AGREEMENT (SLA) POLICY

Document Title: Delivery Service Level Agreement (SLA) Policy

Document Owner: Logistics Operations Department

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1. PURPOSE

The purpose of this Delivery Service Level Agreement (SLA) Policy is to establish standardized service commitments, operational expectations, delivery timelines, accountability measures, escalation procedures, and performance monitoring requirements governing the fulfillment and delivery of customer orders.

This policy serves as the authoritative reference for logistics teams, customer support teams, warehouse operations personnel, delivery partners, technology systems, and automated decision-making agents responsible for order fulfillment and customer experience management.

The objectives of this policy are to:

- Ensure consistent delivery performance.
- Define measurable delivery standards.
- Improve customer satisfaction.
- Reduce operational inefficiencies.
- Enable automated SLA monitoring.
- Establish accountability for delivery failures.
- Support compliance and audit requirements.

2. SCOPE

This policy applies to:

- All customer orders processed through company-operated platforms.
- Domestic deliveries.
- International deliveries.
- Marketplace orders.
- Third-party logistics providers.
- Warehouse operations.

- Customer support operations.
- Automated fulfillment systems.
- AI-powered operational agents.

The policy applies from the moment an order is confirmed until successful delivery, cancellation, return, or closure.

3. DEFINITIONS

3.1 Order Confirmation

The point at which payment authorization is completed and the order is accepted for processing.

3.2 Fulfillment

Activities associated with inventory allocation, picking, packing, labeling, and shipment preparation.

3.3 Dispatch

The transfer of a packaged shipment from warehouse control to an approved carrier.

3.4 Delivery Completion

The successful transfer of goods to the customer or authorized recipient.

3.5 Business Day

Monday through Friday excluding company-recognized public holidays.

3.6 SLA

A measurable service commitment defining expected operational performance.

3.7 Delivery Delay

Any delivery occurring after the committed delivery date.

3.8 SLA Breach

Failure to meet committed service standards defined in this policy.

4. SERVICE TIERS

4.1 Standard Delivery

Target Commitment

- Processing: Within 24 hours
- Delivery: 3–7 business days

Applicable Regions

- Domestic coverage areas
- Regular shipping routes

4.2 Express Delivery

Target Commitment

- Processing: Within 4 hours
- Delivery: 1–2 business days

Requirements

- Available inventory
- Eligible geographic locations

4.3 Same-Day Delivery

Target Commitment

- Order cutoff: 12:00 PM local time
- Delivery by end of business day

Eligibility

- Urban delivery zones
- Eligible inventory locations

4.4 International Delivery

Target Commitment

- Processing: 24 hours
- Delivery: 5–15 business days

Dependencies

- Customs clearance
- International carriers
- Import regulations

5. DELIVERY COMMITMENTS

The company commits to:

1. Accurate order processing.
2. Timely shipment dispatch.
3. Shipment visibility through tracking.
4. Proactive delay notifications.
5. Delivery confirmation recording.
6. Continuous monitoring of delivery performance.

All commitments are subject to exceptions described within this policy.

6. WAREHOUSE PROCESSING SLA

Inventory Allocation

Target: 15 minutes from order confirmation.

Picking

Target: 2 hours.

Accuracy Target:

- 99.5% picking accuracy.

Packing

Target:

- Within 2 hours after picking.

Quality Requirements:

- Product protection standards.
- Correct labelling.
- Regulatory compliance.

Dispatch

Target:

- Within 24 hours of order confirmation.

Performance Goal:

- 98% on-time dispatch rate.

7. CARRIER RESPONSIBILITIES

Approved carriers must:

- Accept assigned shipments promptly.
- Maintain shipment tracking visibility.
- Meet contracted transit commitments.
- Report operational disruptions.
- Handle packages according to handling guidelines.
- Maintain proof-of-delivery records.

Carrier performance shall be reviewed monthly.

8. DELIVERY EXCEPTIONS

Delivery commitments may be suspended due to:

Address Issues

- Invalid address
- Missing address details
- Restricted delivery zones

Customer Issues

- Customer unavailable
- Delivery refusal
- Requested delivery rescheduling

Regulatory Issues

- Customs delays
- Government restrictions
- Security inspections

Operational Issues

- Inventory discrepancies
- Warehouse outages
- Carrier network failures

9. FORCE MAJEURE CONDITIONS

The company shall not be considered in breach of SLA obligations when delays are caused by events beyond reasonable control, including:

- Natural disasters
- Earthquakes
- Floods
- Hurricanes
- Pandemics
- Government actions
- War
- Civil unrest
- Transportation shutdowns
- Internet outages
- Utility failures

Force majeure events shall be documented and approved by Operations Management.

10. CUSTOMER COMMUNICATION STANDARDS

Order Confirmation

Sent within:

- 5 minutes of order acceptance.

Shipment Confirmation

Sent within:

- 15 minutes of dispatch.

Delay Notification

Sent within:

- 2 hours of identifying a likely SLA breach.

Notification must include:

- Order ID
- Revised delivery estimate
- Reason for delay
- Support contact information

Escalation Notification

Customers shall be informed whenever:

- Delivery exceeds 3 days beyond SLA.
- Refund eligibility is triggered.
- Escalation review begins.

11. DELAY CLASSIFICATION MATRIX

Classification	Delay Duration	Severity
Minor	1–2 Days	Low
Moderate	3–5 Days	Medium
Major	6–10 Days	High
Critical	More than 10 Days	Severe

12. SLA BREACH RULES

An SLA breach occurs when:

- Standard delivery exceeds 7 business days.
- Express delivery exceeds 2 business days.
- Same-day delivery misses end-of-day commitment.
- International delivery exceeds 15 business days.

Every SLA breach must:

- Generate an incident record.
- Trigger automated monitoring.
- Be reviewed by operations management.

13. COMPENSATION FRAMEWORK

Minor Delay

Compensation:

- Courtesy notification.

Moderate Delay

Compensation Options:

- Shipping credit.
- Loyalty points.

Major Delay

Compensation Options:

- Partial refund.
- Shipping reimbursement.

Critical Delay

Compensation Options:

- Full refund review.
- Executive escalation.
- Additional goodwill compensation.

14. KEY PERFORMANCE INDICATORS (KPIs)

The following KPIs shall be monitored continuously:

Delivery Performance

- On-time delivery percentage
- Average transit time
- Average processing time
- Failed delivery rate

Customer Experience

- Customer satisfaction score
- Delivery complaint rate
- Refund requests due to delays

Operational Performance

- Warehouse accuracy
- Dispatch compliance
- Carrier SLA compliance

15. REPORTING REQUIREMENTS

The Logistics Operations Team shall generate:

Daily Reports

- Delayed orders
- SLA breaches
- Carrier performance exceptions

Weekly Reports

- Trend analysis
- Incident summaries

Monthly Reports

- Executive dashboard
- KPI scorecards
- Root cause analysis

16. AUDIT REQUIREMENTS

All delivery activities must be auditable.

Required records include:

- Order timestamps
- Fulfillment timestamps
- Dispatch timestamps
- Tracking updates
- Delivery confirmations
- Customer communications
- Escalation actions

Audit records must be retained for a minimum of 24 months.

17. COMPLIANCE CONTROLS

The organization shall maintain controls ensuring compliance with:

- Consumer protection regulations
- Data privacy regulations
- Contractual carrier obligations
- Internal operational standards

Periodic compliance reviews shall occur quarterly.

18. RISK MANAGEMENT

Delivery-related risks shall be assessed based on:

- Carrier dependency
- Geographic exposure
- Seasonal demand spikes
- Warehouse capacity constraints
- Technology failures

Mitigation plans shall be maintained and reviewed quarterly.

19. GOVERNANCE

The Logistics Governance Committee is responsible for:

- SLA approval
- Policy review
- Performance oversight
- Exception management
- Continuous improvement initiatives